

Week 1: Introduction to FICC and G10 FX

Lecture 1 of 5: G10 FX

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By the end of today you will be able to

- ✿ Explain why FX exists, with a brief history
- ✿ Read any FX quote
- ✿ Work out what a pip move is worth
- ✿ Name the G10 currencies and their central banks
- ✿ Explain why most trades are against the dollar

Running example: EUR/USD

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Our goal this year

Build a **bank style currency report**, modelled on RBC's *Currency Report Card*.

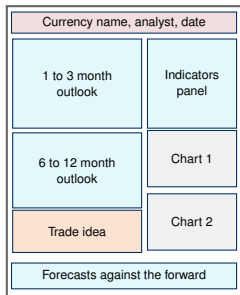
- ✳ **One page per currency**, each analysed against the US dollar
- ✳ Every page ends in a **trade idea** for our book
- ✳ Pages updated **every two weeks**, presented at market meetings
- ✳ **Issue 1** published in week 6

TB1: the majors against USD
EUR/USD, USD/JPY, GBP/USD,
USD/CHF, USD/CAD, AUD/USD
plus the house USD view



TB2: to be confirmed
Coverage rotates; possible additions:
NZD, SEK, NOK and gold

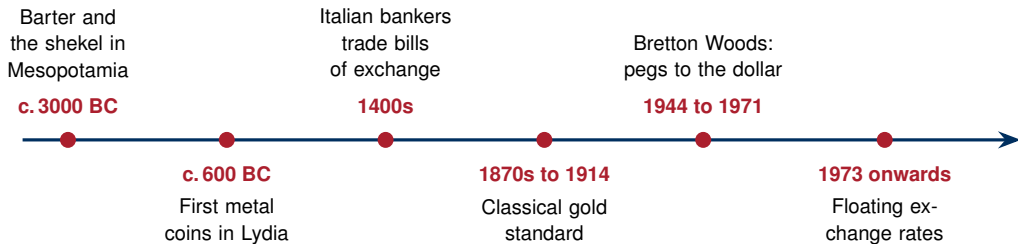
What each currency page will look like



- ✦ **Indicators:** rates, inflation, growth, valuation
- ✦ **Short term outlook:** what is priced, and where we disagree
- ✦ **Long term outlook:** structural drivers and risks
- ✦ **Charts:** each one backs a claim in the text
- ✦ **Trade idea:** entry, stop, target and catalyst

Lectures 1 to 5 each fill one part of this page.

A brief history of money and FX



Each step solved a problem with the one before it.

From barter to the first FX markets

Barter (Mesopotamia, c. 3000 BC)

- ✿ Goods swapped directly: grain for livestock
- ✿ Problem: you need someone who wants exactly what you have
- ✿ Fix: the **shekel**, a set weight of barley or silver, became a unit of value

Metal coins (Lydia, c. 600 BC)

- ✿ Stamped coins of a standard weight
- ✿ Easy to count, carry and trust
- ✿ Different states minted different coins, so traders needed to **exchange** them

Early FX markets (1400s)

- ✿ Money changers at trade fairs swapped coins
- ✿ Italian banks such as the Medici used **bills of exchange** to pay across Europe
- ✿ The first real exchange rates between currencies

The gold standard: fixed value, stability

- ✦ Each currency was worth a **fixed amount of gold**
- ✦ So exchange rates between currencies were fixed too
- ✦ Britain led the way; most major economies joined by the 1870s
- ✦ Classical era: roughly **1870s to 1914**

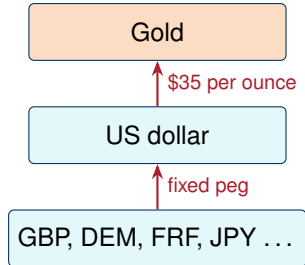
Strengths

Stable prices and exchange rates; trust in money; easier trade

Weaknesses

Money supply tied to gold mining; no room to fight recessions; broke down in World War I and was abandoned in the 1930s

Bretton Woods: pegs to the dollar (1944 to 1971)



- ✦ Agreed at Bretton Woods, USA, in 1944
- ✦ The dollar was pegged to gold; other currencies were **pegged to the dollar**
- ✦ Created the IMF and the World Bank
- ✦ Ended in **1971** when the US stopped converting dollars into gold (the “Nixon shock”)
- ✦ By **1973** the major currencies were floating

Exchange rate regimes today

Regime	How it works	Examples
Free float	Set by supply and demand in the market	USD, EUR, GBP, JPY, AUD
Managed float	Floats, but the central bank intervenes at times	CHF (SNB intervention), INR
Band or managed peg	Allowed to move within a range around a reference rate	CNY (daily fix with a band)
Hard peg	Fixed to another currency, defended by the central bank	HKD to USD (since 1983)
Dollarisation	A country uses another currency as its own	Ecuador uses the USD
Currency union	Several countries share one currency	The euro (since 1999)

All of the G10 float, which is why their prices move every second.

Reading an FX quote

Base currency
the one you buy or sell

↓
EUR / USD

Price
USD per 1 EUR

↓
1.1490

↑
Quote currency
what it is priced in

- ✦ One euro costs 1.1490 US dollars
- ✦ **EUR/USD rises:** the euro strengthens and the dollar weakens
- ✦ **EUR/USD falls:** the euro weakens and the dollar strengthens

Read it like a fraction

When EUR/USD rises, the top (EUR) is gaining on the bottom (USD).

What is a pip?

A **pip** is the standard unit for measuring FX moves.

1.1490 → **1.1491**

EUR/USD up **1 pip** (0.0001)

157.27 → **157.28**

USD/JPY up **1 pip** (0.01)

- ✦ Most pairs: a pip is the **4th decimal place**
- ✦ Yen pairs: the **2nd decimal place**
- ✦ Traders talk in pips, not prices:
“EUR/USD is up 40 pips today”

What is a pip move worth?

Pip value

pip value = pip size $\times$ position size
(paid in the quote currency)

Worked example: EUR 100,000 of EUR/USD

1 pip = $0.0001 \times 100,000 = \10
40 pips = $40 \times \$10 = \400

Pair (100k units)	1 pip
EUR/USD	\$10
GBP/USD	\$10
AUD/USD	\$10
USD/JPY	¥1,000 $\approx$ \$6.36

USD/JPY converted at 157.27 (ECB rates, 21 Sep 2026).

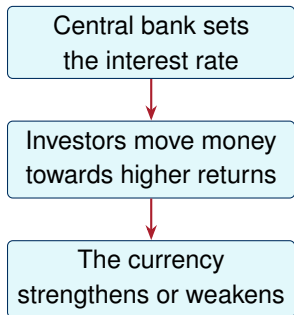
Quick check: what is a 25 pip move worth on EUR 100,000 of EUR/USD? (Answer: \$250)

The G10 currencies and their central banks

Currency	Code	Central bank	Role
US dollar	USD	Federal Reserve (Fed)	Hub, safe haven
Euro	EUR	European Central Bank (ECB)	Most traded against USD
Japanese yen	JPY	Bank of Japan (BoJ)	Safe haven, carry funder
British pound	GBP	Bank of England (BoE)	Rates and fiscal story
Swiss franc	CHF	Swiss National Bank (SNB)	Safe haven, carry funder
Canadian dollar	CAD	Bank of Canada (BoC)	Oil linked
Australian dollar	AUD	Reserve Bank of Australia (RBA)	China and metals
New Zealand dollar	NZD	Reserve Bank of New Zealand (RBNZ)	Dairy, global growth
Swedish krona	SEK	Riksbank	European growth
Norwegian krone	NOK	Norges Bank	Oil linked

Red: the seven currencies our book covers this term.

Every currency is a central bank story



- ✦ Each central bank sets interest rates to hit an **inflation target**, usually 2%
- ✦ Higher expected rates tend to **strengthen** a currency
- ✦ So the first question for any currency is: **what will its central bank do next?**

More on this in Lecture 2.

What moves a currency?

Fast

Interest rates

Higher expected rates attract money. *The biggest driver.*

Inflation and data

CPI, jobs, GDP surprises change rate expectations

Risk sentiment

In a sell off, USD, JPY and CHF usually rise

Positioning

A crowded trade can reverse sharply

Slow

Commodities

Oil moves CAD and NOK; metals move AUD

Politics and fiscal policy

Elections, budgets, borrowing (e.g. UK Budget)

Capital flows

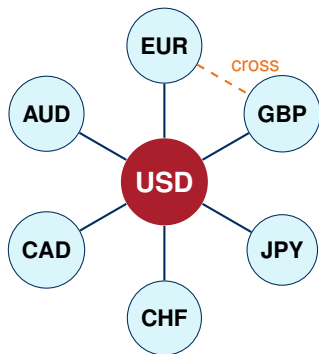
Money flowing into a country's stocks and bonds

Valuation

Cheap currencies drift towards fair value (PPP) over years

Top row: days to weeks. **Bottom row:** months to years.

Why we trade against the dollar



- ✶ **Liquidity:** in almost 9 in 10 FX trades, so spreads are tightest
- ✶ **Vehicle currency:** other currencies often trade via USD
- ✶ **Global pricing:** oil, gold, trade and debt are mostly in dollars
- ✶ **Crosses are built from dollar pairs**

EUR/GBP from two dollar pairs

$$\begin{aligned}\text{EUR/GBP} &= \text{EUR/USD} \div \text{GBP/USD} \\ &= 1.1490 \div 1.3395 \approx 0.8578 \quad (\text{ECB, 21 Sep 2026})\end{aligned}$$

Use a cross when the dollar only adds noise.

Exercise: present your currency next week

For **your** currency, find and record in the shared data sheet:

1. The central bank and its current policy rate
2. The date of its next policy meeting
3. Today's spot rate against the dollar
4. Its spread on TradingView, compared with EUR/USD
5. Its personality: safe haven, commodity currency, high yielder or carry funder?

Present it: 2 minutes, one slide

At the start of Lecture 2, each of you presents:

- ✦ Your pair and today's rate
- ✦ Your central bank and its rate
- ✦ One thing that moved your currency this week

Deadline: slide sent to me by friday

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